

Pyka

PRIVATE : PYKA · Private Pre-Valuation \$200M mkt cap · 50M sh · \$0M cash, zero debt · \$40M Series B Sept-2024 (Obvious Ventures); ~\$88M raised (exit-scenario) total; Valuation UNDISCLOSED — ~\$200M est.

\$4.00

last round mark · Series B (est.)

THE CENTRAL QUESTION

Is an ESTIMATED ~\$200M post-money (~\$4/share, undisclosed) defensible against a probability-weighted distribution of exits over 3-6 years — for an already-flying, FAA-authorized, revenue-generating autonomous-aircraft maker facing heavy dilution and a long full-certification road?

Pyka is the rare autonomous-aircraft company that already flies, sells, and earns revenue — ~\$7.5M est. across ag spraying (Pelican 2) and middle-mile cargo (Pelican Cargo) on four continents, FAA-authorized as the largest UAS cleared for US commercial operation, on ~\$88M raised (capital-efficient versus eVTOL peers burning billions). The valuation is undisclosed, so the dominant variable is not an operating DCF but the exit distribution against an estimated mark. Real today (flying, regulated, two beachhead markets, an emerging dual-use defense leg) de-risks it versus pre-revenue eVTOLs; the bear is that it stays tiny and niche, faces a multi-year road to full type certification, and dilutes heavily. Probability-weighted PV lands near the estimated mark — a speculative option with a fat tail, where heavy dilution offsets large company-value exits. Five exit scenarios, weighted; show your work. The estimate itself is the load-bearing uncertainty.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$4.15
expected fair value today
+3.6% vs last mark \$4.00

WEIGHTING RATIONALE

Wipeout 20% Certification stall + soft orders + capital starvation — compound 3-vector tail.

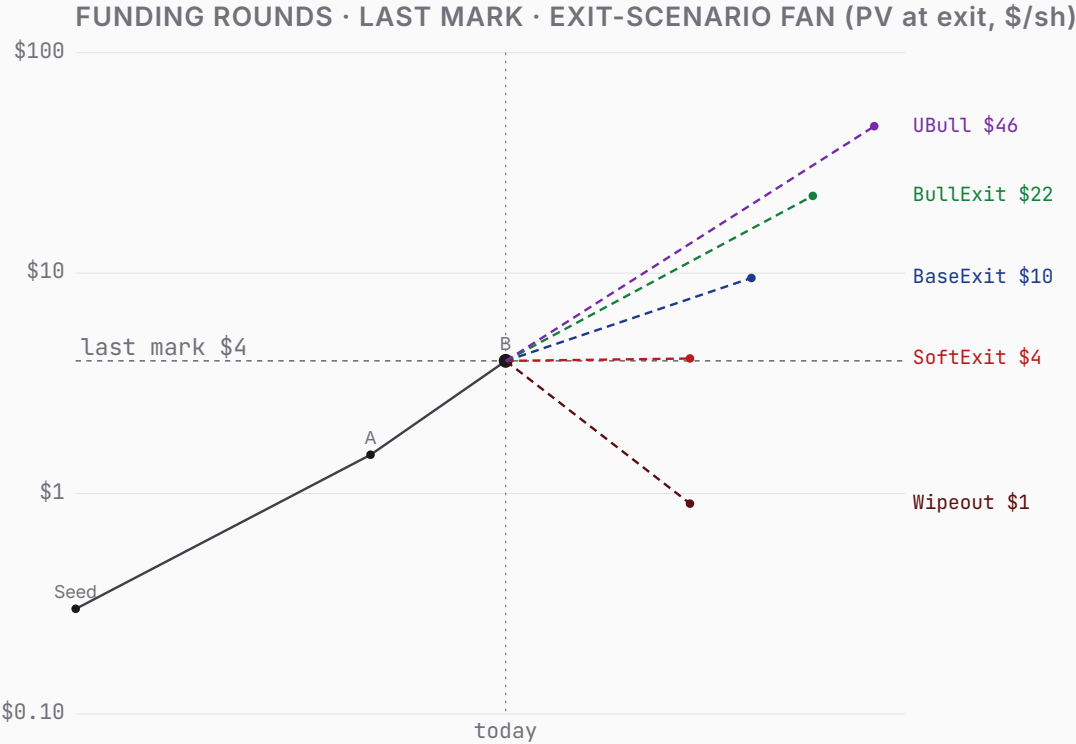
Soft Exit 27% Executes but niche; ~\$350M acqui-sale, ~70% dilution lands it sub-mark.

Base Exit 30% Modal: both beachheads scale + defense leg, ~\$1B strategic buy 2030, ~1x mark.

Bull Exit 15% Certification clears, category leader across ag/cargo/defense; ~\$2.8B 2031.

Ultra Bull 8% Autonomy platform generalizes + regulatory moat; ~\$6.5B platform IPO 2032.

Bull Exit (15%) + Ultra Bull (8%) contribute \$2 — 57% of the \$4 weighted PV despite 23% combined probability. The last round mark (\$4) sits 4% below the weighted PV, so secondary buyers paying through the mark are roughly justified. The venture discount rate is the load-bearing input — see Page 4 sensitivity.



WIPEOUT	\$0.37	SOFT EXIT	\$1.84	BASE EXIT	\$4.02	BULL EXIT	\$8.29	ULTRA BULL	\$14.07
	-90.8% vs spot		-54.0% vs spot		+0.5% vs spot		+107.2% vs spot		+251.8% vs spot
Exit \$0B Yrs 3.0 WACC 30% Prob 20%		Exit \$0B Yrs 3.0 WACC 26% Prob 27%		Exit \$1B Yrs 4.0 WACC 24% Prob 30%		Exit \$3B Yrs 5.0 WACC 22% Prob 15%		Exit \$7B Yrs 6.0 WACC 22% Prob 8%	
Capital-starved; fire-sale.		Modest acqui-sale; dilution bites.		2030 strategic buy at ~\$1B.		2031 buy at ~\$2.8B; category leader.		Platform IPO; ~\$6.5B.	

PROBABILITY WEIGHTS

Ultra Bear 20% Bear 27% Base 30% Bull 15% Ultra Bull 8% · Weighted expected \$4.15 (+3.6% vs spot)

WIPEOUT	\$0.37	SOFT EXIT	\$1.84	BASE EXIT	\$4.02	BULL EXIT	\$8.29	ULTRA BULL	\$14.07
	-90.8% vs spot		-54.0% vs spot		+0.5% vs spot		+107.2% vs spot		+251.8% vs spot

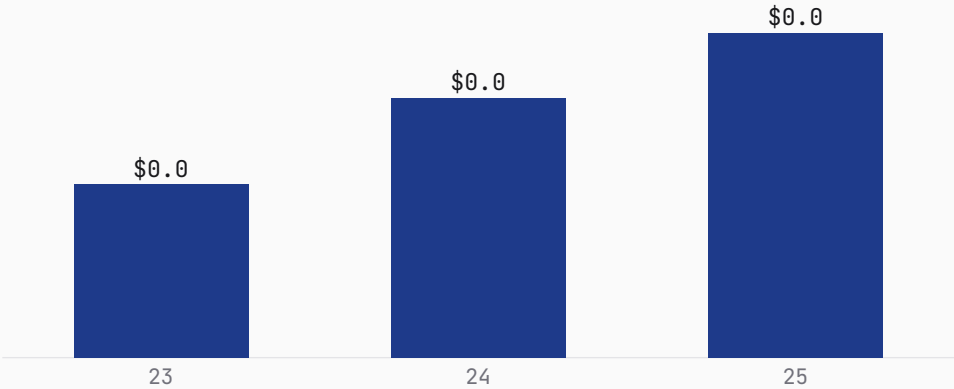
Probability 20%	Probability 27%	Probability 30%	Probability 15%	Probability 8%
Capital-starved; fire-sale. WHY 20% Certification stall + chronically soft orders + capital starvation is a compound 3-vector tail. Each individually 30-45% plausible for a sub-\$10M-revenue, ~74-person aerospace company; joint near 20%. The dominant risk is running out of runway before full type certification — one binary, not slow erosion. Capital-efficiency and an already-shipping product temper it below a typical pre-revenue moonshot. WHAT HAPPENS Full type certification proves slower and dearer than aerospace history predicts. Ag and cargo orders stay soft and lumpy — the 2023 Skyports pre-commitments never firm — while DJI/XAG ag-drones compress from below and Zipline out-scales in light-payload logistics. Burn outruns a thin balance sheet; a 2028 bridge prices below the last mark, the defense pilots don't convert to programs, and the company is acqui-hired or wound down. At a ~\$60M outcome, common per share falls to ~\$0.90 nominal — discounted three years at a 30% venture-WACC (illiquidity + execution + dilution overhang) and after a 35% within-scenario write-to-zero probability, expected PV is ~\$0.37, roughly a tenth of the estimated mark.	Modest acqui-sale; dilution bites. WHY 27% The modal "executes but stays niche" path. Conditions: the firm backlog converts, ag grows steadily, but cargo/defense stay sub-scale and two more dilutive rounds are needed before an exit. Each individually 60-75%; joint near 27%. Heavy dilution is the mechanism that turns a respectable company outcome into a sub-mark equity return — the single most important driver of this case. WHAT HAPPENS Pyka executes but stays a niche specialist. The Synerjet Brazil backlog delivers and ag revenue grows, but cargo and defense scale slowly and the markets prove smaller and more price-competitive than hoped. Reaching full certification and scale takes another two funding rounds; cumulative dilution runs ~70%. A strategic acquirer — an aerospace prime, an ag-equipment OEM, or a logistics player — buys the team and the regulatory position at a modest premium. At a ~\$350M outcome, common per share is ~\$4.10 nominal — discounted three years at a 26% venture-WACC and after a 10% residual loss probability, expected PV is ~\$1.84, well below the estimated \$4.00 mark even as the company-level outcome tops it. Dilution is what erodes the per-share figure.	2030 strategic buy at ~\$1B. WHY 30% Modal-good outcome. Conditions: both beachhead markets scale, the defense leg becomes a real program, the regulatory lead persists, and a strategic acquirer emerges around 2030. Each individually ~60-70%; joint near 30%. This IS the base case but not overwhelming — Pyka can slide into the soft-exit case if cargo/defense underdeliver or dilution runs ahead of the company outcome. WHAT HAPPENS Pyka's two beachheads both work. Pelican 2 becomes the standard autonomous ag aircraft in the Americas as the Synerjet/SLC relationships expand, cargo wins repeatable middle-mile routes, and the AFWERX/Sierra Nevada defense leg matures into a real "RumRunner" dual-use program. The regulatory first-mover position holds while competitors are still certifying. A strategic acquirer takes the company at a ~\$1.05B post-money in 2030. Per share at exit ≈ \$9.50 nominal; PV back to today at a 24% venture-WACC over ~4 years = ~\$4.02. That is ~1× the estimated \$4.00 mark — the source of the "roughly fair" finding: a strong company outcome, but ~120% cumulative dilution lands the per-share value near today's estimate.	2031 buy at ~\$2.8B; category leader. WHY 15% Requires conjunction: full type certification clears, all three markets (ag, cargo, defense) scale, vertical integration converts to a durable cost moat, and a high-value acquirer emerges by 2031. Each individually 40-55%; joint near 15%. Higher floor than a typical young-company bull because Pyka already has flying, FAA-authorized, revenue-generating product — the "real today" premium. WHAT HAPPENS Pyka becomes the category-defining autonomous electric aircraft company across ag, cargo, and contested-logistics defense. Full type certification clears, opening unrestricted commercial operation; the order book firms across continents; the Sierra Nevada / DoD relationship scales into multi-aircraft contested-logistics contracts. Vertical integration (autonomy, airframe, motors, batteries) yields a cost and iteration-speed moat as volumes rise. A prime or a major logistics buyer acquires it at a ~\$2.8B post-money in 2031. Per share at exit ≈ \$22.40 nominal; PV at a 22% venture-WACC over 5 years = ~\$8.29 — a ~2× outcome on the estimated mark. Higher floor than a typical venture bull because Pyka already flies, is FAA-authorized, and earns revenue that pre-revenue eVTOLs do not.	Platform IPO; ~\$6.5B. WHY 8% Tail of tails. Requires the Bull conditions AND the autonomy platform generalizing into a large defense program AND a durable regulatory moat AND a public-market window receptive to autonomous-aviation hardware. 5-10% feels right; 8% acknowledges Pyka's genuine head start (flying, FAA-authorized, revenue) without over-weighting a six-year tail. WHAT HAPPENS The genuine tail. Pyka's autonomy and airframe platform generalizes beyond ag and cargo — contested-logistics defense becomes a large program of record, the regulatory lead compounds into a durable moat as the FAA framework for autonomous cargo flight matures, and Pyka holds a credible option on autonomous regional passenger flight later. Revenue inflects from sub-\$10M to hundreds of millions; the company IPOs in 2032 at a ~\$6.5B post-money. Per share at IPO ≈ \$46.40 nominal; PV at a 22% venture-WACC over 6 years = ~\$14.07 — a ~3.5× outcome on the estimated mark. Contributes the largest single slice of weighted value despite only 8% probability — compound-conditional-tail behavior typical of frontier hardware.

Pyka business snapshot

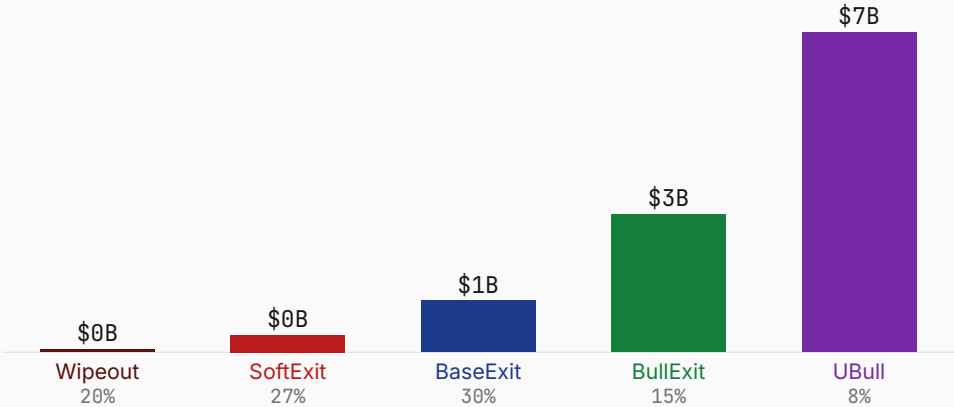
Bear \$1.84 Base \$4.02 Bull \$8.29

Funding-round history + exit-scenario distribution · no operating DCF (valuation undisclosed; revenue est.) · the estimated mark + discount rate are the load-bearing inputs

Revenue build to scenario exit (est. run-rate \$B)



Exit valuation distribution (post-money \$B)



Sources: Pyka press releases, Obvious Ventures / Piva / Prelude announcements, AFWERX / Agility Prime + Sierra Nevada releases, Synerjet & Skyports announcements, FAA authorizations, TechCrunch, aggregator revenue/headcount estimates (low confidence).

Pyka 7 Powers · the moat, scored

Bear \$1.84 Base \$4.02 Bull \$8.29

Arena. Autonomous electric aircraft — Pyka vs Zipline, Reliable Robotics / Merlin (autonomy), DJI / XAG (ag-drones), and eVTOL + defense primes; the race to field certified, revenue-generating autonomous flight in ag spraying and middle-mile cargo.

POWER ORIENTATION
origination window: open

POWER ORIENTATION · 7 POWERS

Scale Economies	Tiny — ~\$7.5M est. revenue, ~74 people; no volume advantage yet.
Network Economies	Minimal; no platform network effect in ag/cargo operations.
Counter-Positioning	Autonomous electric flight vs incumbent piloted ag aviation — a model rivals can't easily copy.
Switching Costs	Ag-distributor relationships + integrated fleet operations create stickiness once embedded.
Branding	Recognized in autonomous-aviation niche; little broad brand power.
Cornered Resource · thesis leans here	The only large FAA-authorized autonomous fixed-wing electric aircraft actually selling units.
Process Power	Vertically integrated autonomy, airframe, motors, and batteries — a hard-to-replicate stack.

COMPETITIVE READ

Pyka is originating a real cornered-resource and process-power position — the only large FAA-authorized autonomous electric aircraft actually selling units, vertically integrated — but it is tiny and early versus better-capitalized rivals (Zipline above, DJI/XAG below); the window is open while it leads on certification, and capital starvation before full type certification is the falsifier for whether the scarcity endures.

THE RACE · NAMED RIVALS

Zipline	~\$7.6B raised
~28% terminal share · Far larger/later (~\$7.6B) but light-payload medical/retail logistics, not heavy ag/cargo.	
Reliable Robotics / Merlin	\$ hundreds of M
~12% terminal share · Autonomy retrofit for existing aircraft — automation rival, not electric airframes.	
DJI / XAG	Large balance sheets
~22% terminal share · Small ag-spray drones from below — cheap, scaled, lower payload/range.	
eVTOL / defense primes	\$ billions
~14% terminal share · Joby/Archer (passenger) + primes (defense logistics) — richer stories, adjacent or pre-revenue.	

LEAD / LAG · FALSIFIERS

Certified, revenue-generating autonomous aircraft	leading vs behind	LEADING
Scale / capital	tiny (~\$88M) vs far larger	LAGGING
Capital efficiency per unit of progress	high vs lower	LEADING

Pyka show your work

Bear \$1.84 Base \$4.02 Bull \$8.29 · Weighted \$4.15 (+3.6%)

WIPEOUT				\$0.37				SOFT EXIT				\$1.84				BASE EXIT				\$4.02				BULL EXIT				\$8.29				ULTRA BULL				\$14.07			
ASSUMPTIONS								ASSUMPTIONS								ASSUMPTIONS								ASSUMPTIONS								ASSUMPTIONS							
Exit kind				wipeout				Exit kind				acquisition				Exit kind				acquisition				Exit kind				acquisition				Exit kind				ipo			
Exit year				2029				Exit year				2029				Exit year				2030				Exit year				2031				Exit year				2032			
Exit post-money				\$0B				Exit post-money				\$0B				Exit post-money				\$1B				Exit post-money				\$3B				Exit post-money				\$7B			
Per-share at exit (\$)				0.9				Per-share at exit (\$)				4.1				Per-share at exit (\$)				9.5				Per-share at exit (\$)				22.4				Per-share at exit (\$)				46.4			
Years to exit				3.0				Years to exit				3.0				Years to exit				4.0				Years to exit				5.0				Years to exit				6.0			
Venture WACC (%)				30				Venture WACC (%)				26				Venture WACC (%)				24				Venture WACC (%)				22				Venture WACC (%)				22			
Dilution to exit (%)				+30				Dilution to exit (%)				+70				Dilution to exit (%)				+120				Dilution to exit (%)				+150				Dilution to exit (%)				+180			
P(total loss) (%)				35				P(total loss) (%)				10				P(total loss) (%)				0				P(total loss) (%)				0				P(total loss) (%)				0			
Scenario probability (%)				20				Scenario probability (%)				27				Scenario probability (%)				30				Scenario probability (%)				15				Scenario probability (%)				8			
EXIT → PV PER SHARE								EXIT → PV PER SHARE								EXIT → PV PER SHARE								EXIT → PV PER SHARE								EXIT → PV PER SHARE							
Per-share at exit (nominal)				\$0.9				Per-share at exit (nominal)				\$4.1				Per-share at exit (nominal)				\$9.5				Per-share at exit (nominal)				\$22.4				Per-share at exit (nominal)				\$46.4			
÷ (1+30%)^3.0				\$0.41				÷ (1+26%)^3.0				\$2.05				÷ (1+24%)^4.0				\$4.02				÷ (1+22%)^5.0				\$8.29				÷ (1+22%)^6.0				\$14.07			
× (1–P_loss 35%)								× (1–P_loss 10%)								= Expected PV per share				\$4.02				= Expected PV per share				\$8.29				= Expected PV per share				\$14.07			
PV SENSITIVITY TO DISCOUNT RATE								PV SENSITIVITY TO DISCOUNT RATE								PV SENSITIVITY TO DISCOUNT RATE								PV SENSITIVITY TO DISCOUNT RATE								PV SENSITIVITY TO DISCOUNT RATE							
15%		18%		22%		25%		15%		18%		22%		25%		15%		18%		22%		25%		15%		18%		22%		25%		15%		18%		22%		25%	
\$0		\$0		\$0		\$0		\$2		\$2		\$2		\$2		\$5		\$5		\$4		\$4		\$11		\$10		\$8		\$7		\$20		\$17		\$14		\$12	



Pyka supporting analysis · disclaimers · glossary

Bear \$1.84 Base \$4.02 Bull \$8.29

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Already flying, FAA-authorized, earning revenue.**
Largest UAS cleared for US commercial operation; ~\$7.5M est. across four continents — de-risked versus pre-revenue eVTOLs.
- 2 **Capital-efficient for aerospace.**
~\$88M raised total versus eVTOL peers (Joby/Archer) burning billions and Zipline at ~\$7.6B — far less dilution per unit of progress.
- 3 **Two beachheads + an emerging dual-use defense leg.**
Ag (Pelican 2) and cargo (Pelican Cargo) today; AFWERX lease + Sierra Nevada "RumRunner" militarized variant for DoD contested logistics.
- 4 **Regulatory first-mover is the moat.**
Operational FAA authorization while competitors are still certifying — vertically integrated autonomy, airframe, motors, and batteries.

FALSIFICATION TRIGGERS

Bear validation

A bridge round below the last mark · the 2023 cargo pre-commitments lapse unconverted · DJI/XAG ag-drones take share from below · defense pilots don't become programs

Bull validation

Full type certification clears · the Synerjet/SLC backlog expands into repeat orders · a Sierra Nevada / DoD program of record · a priced up-round disclosing the mark

Reframe needed

An actual disclosed valuation — the entire analysis is anchored to a ~\$200M ESTIMATE; a real mark (above or below) resets the per-share base and the finding.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Pelican 2 / Pelican Spray — Pyka's autonomous all-electric ag aircraft — 300L / ~660lb payload, up to 100 ha/hr, ~\$550K list; billed as the world's largest autonomous ag aircraft (Feb 2025).

AFWERX / Agility Prime — US Air Force programs accelerating electric/autonomous aircraft; Pyka delivered Pelican Cargo on lease (2024) — the basis of the dual-use defense leg.

Pelican Cargo — Pyka's autonomous all-electric middle-mile cargo airplane — ~400lb payload, 200-mi range; billed as the world's largest zero-emission cargo airplane (Jan 2023).

RumRunner — Militarized Pyka variant developed with Sierra Nevada Corporation (2024) for DoD contested-logistics resupply — the defense scale-up call option.

FAA authorization (vs type certification) — Operational clearance to fly/operate commercially under defined conditions — NOT full type certification, which is a separate multi-year road to unrestricted operation.

Last-round mark (estimated) — Per-share value implied by the latest round (post-money ÷ fully-diluted). Pyka's post-money is undisclosed, so \$4.00 is an estimate, not a disclosed or market price.